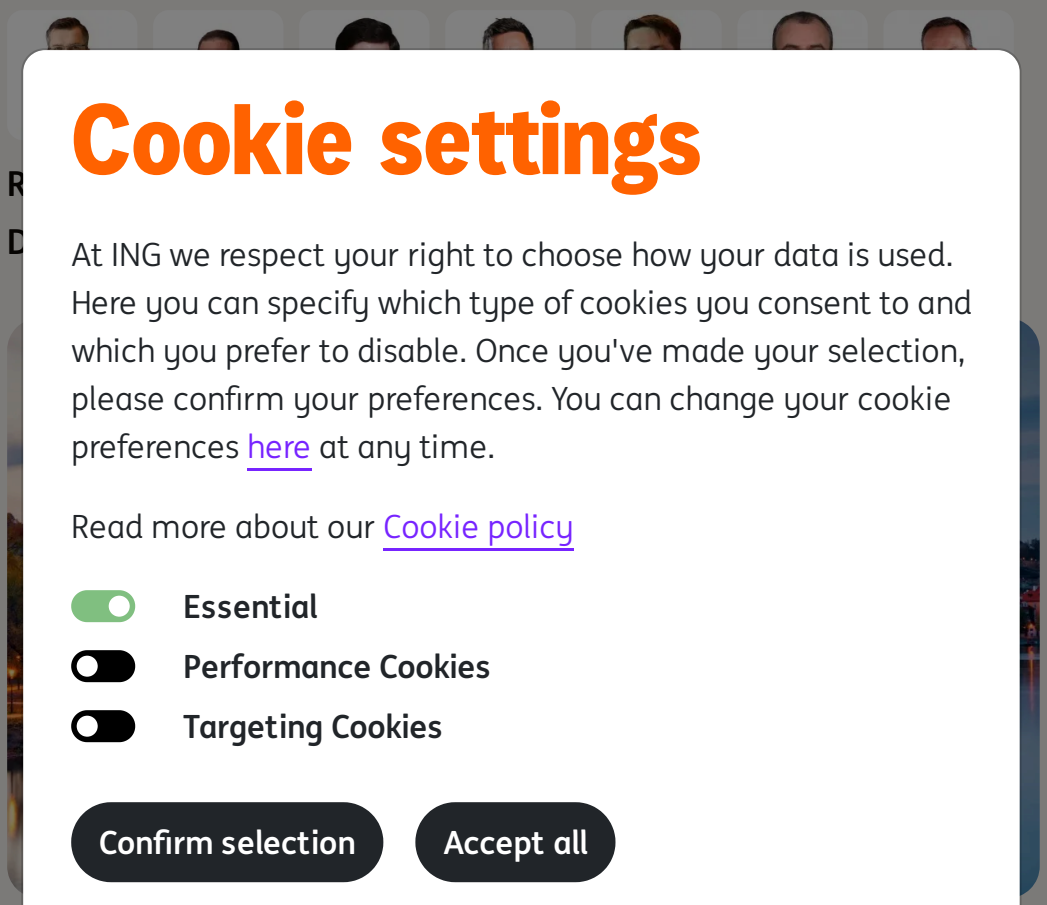
Like many emerging market currencies, those in the EMEA region have been hit by higher US Treasury yields and the stronger dollar. Yet the domestic stories look constructive for many, and a combination of some local rate hikes as well as light foreign positioning (ex Hungary) can insulate these currencies from the global bond market sell-off



Light foreign positioning and some local rate hikes can keep EMEA currencies relatively insulated

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

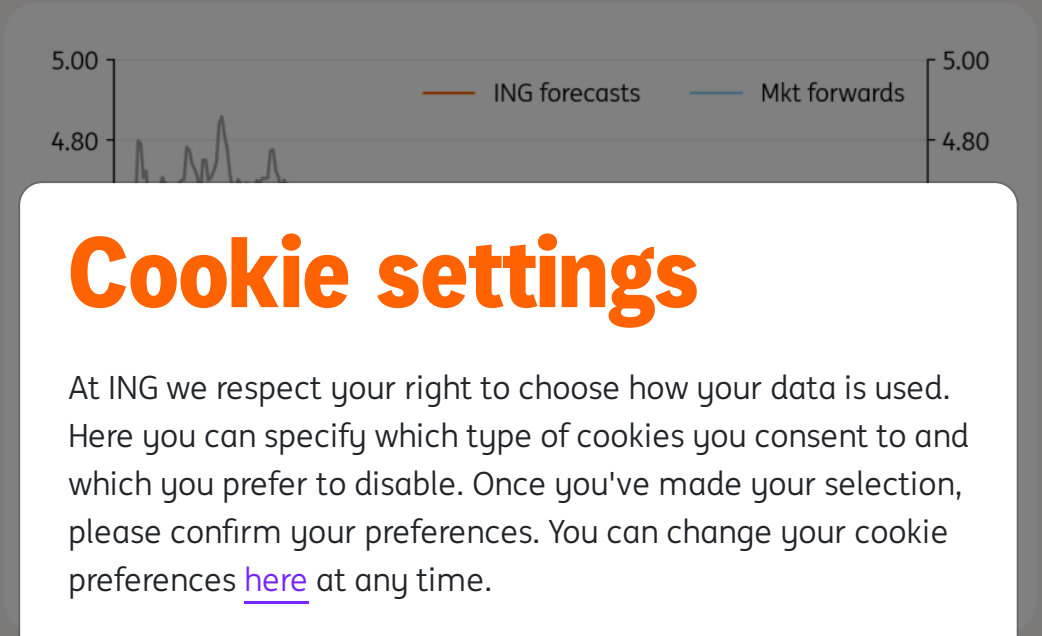
Accept all

EUR/PLN: Zloty swings with market sentiment

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	**4.3877**	Mildly Bearish ↘	4.36	4.35	4.33	4.29

- EUR/PLN has moved towards 4.40 after trading around the 4.30 level during summer. With market sentiment deteriorating amid geopolitical tensions in Iran, France and Russia, the coming weeks could challenge the zloty.

- PLN has recently strengthened its correlation with EUR/USD, so the dollar's future moves will be the key driver in the currency's performance, while domestic factors are likely to take a back seat.
- We retain a broadly positive stance on the zloty in the medium term due to solid GDP momentum and persistent outperformance. However, the balance of risks has become less favourable; the National Bank of Poland may deliver fewer hikes than priced, and a hot budget debate could reveal vulnerabilities.



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

- While EUR/HUF has shown some volatility recently, the swings have been far more moderate than we used to see. This reflects general positioning and the euro adoption story.
- We think an idiosyncratic shock is coming with the 2027 budget and the mid-term fiscal consolidation plan. If the government delivers a credible plan, as we expect, and announces official talks on joining ERM II, this could provide a credibility boost to the forint.
- A significant drop in the risk premium and some insulation from geopolitical market turbulence could take EUR/HUF down to the 350-355 area over the next month. This would, however, reopen the door to a National Bank of Hungary easing cycle starting in December, putting the HUF on a mild depreciation path over the following 12 months.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

- That said, the ECB may turn more hesitant despite elevated inflation, as concerns over French fiscal issues rekindle fears of another euro crisis. In turn, the real interest rate differential should help the koruna withstand the turmoil and gradually appreciate once things have calmed down.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

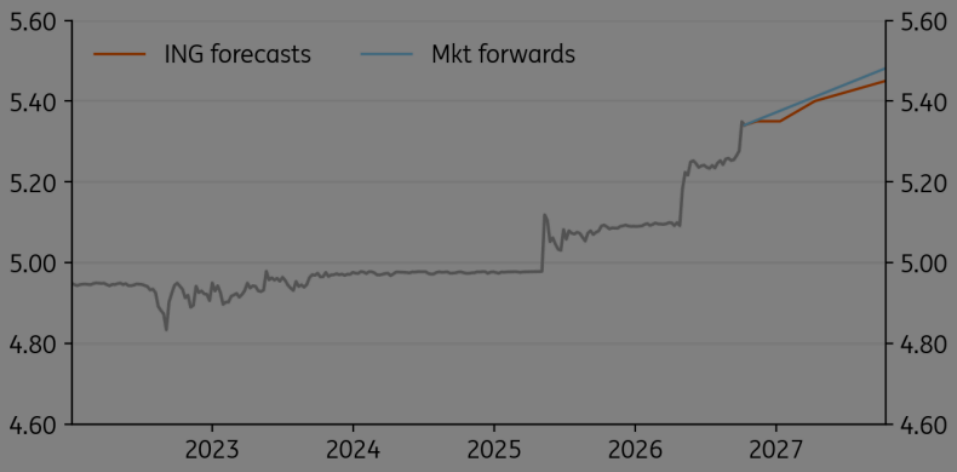
Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

- A tighter liquidity management has recently led FX implied yields to the highest levels since May 2025, although funding pressures have diminished from their early October peak. We expect the pair to remain around its current levels by year-end and close next year near 5.45.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

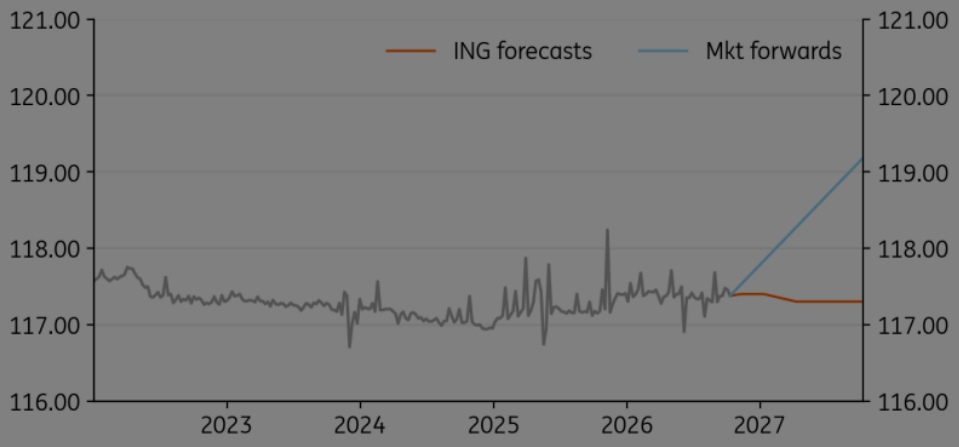
Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

rate in place at 5.75%, continuing to highlight inflation uncertainty. Between January and August, the Bank sold €407m to keep the pair stable. We expect the pair to remain around the current levels ahead.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

uncertainty. At the same time, Kazakhstan's high real rates should continue to attract carry-trade inflows, while the eventual release of the state FX sales backlog could ensure KZT resilience if market sentiment deteriorates.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

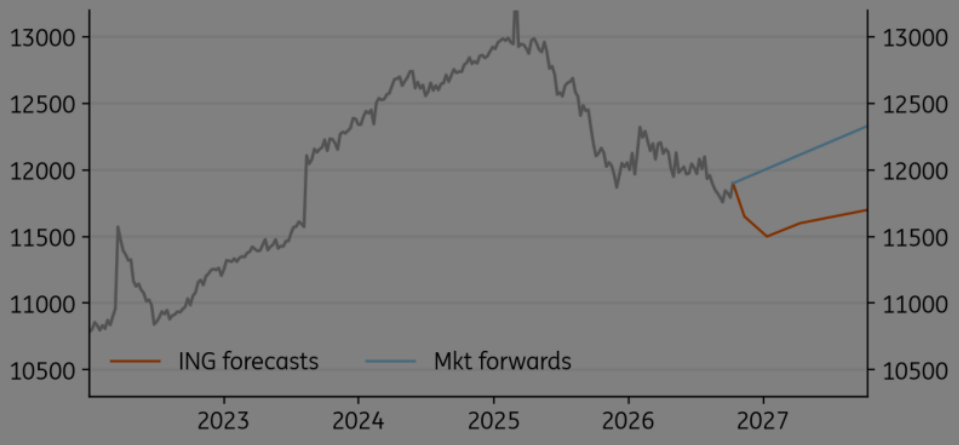
Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

continue doing so despite a potential monetary policy easing. As inflation has stabilised at 6.2-6.4% YoY, we see some room for a cautious cut from the current 14.00% policy rate before the end of the year.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

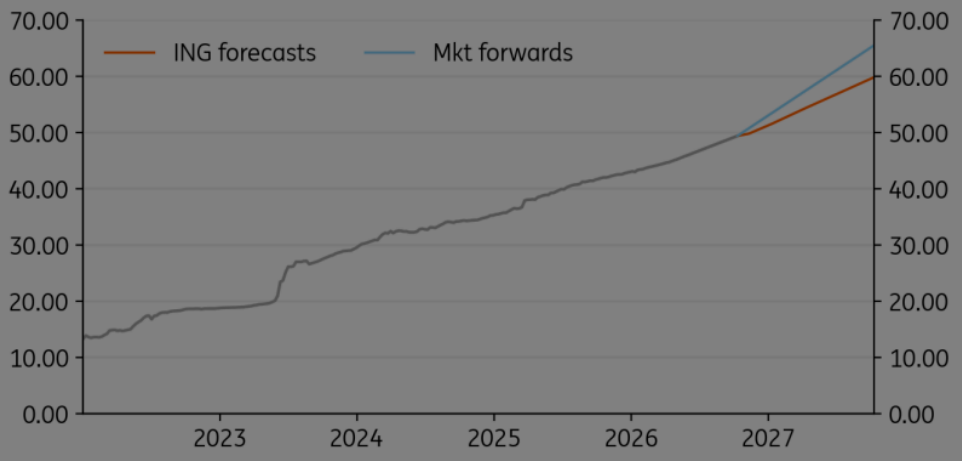
Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

- seen in recent years.
- This backdrop increases the likelihood of a shift toward policy rate cuts. The recent investment fund disruption is likely to raise downside risks to activity. Given September's CPI and weak domestic demand, we expect two 100bp cuts in October and December.



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies



Source: Refinitiv, ING Forecasts

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

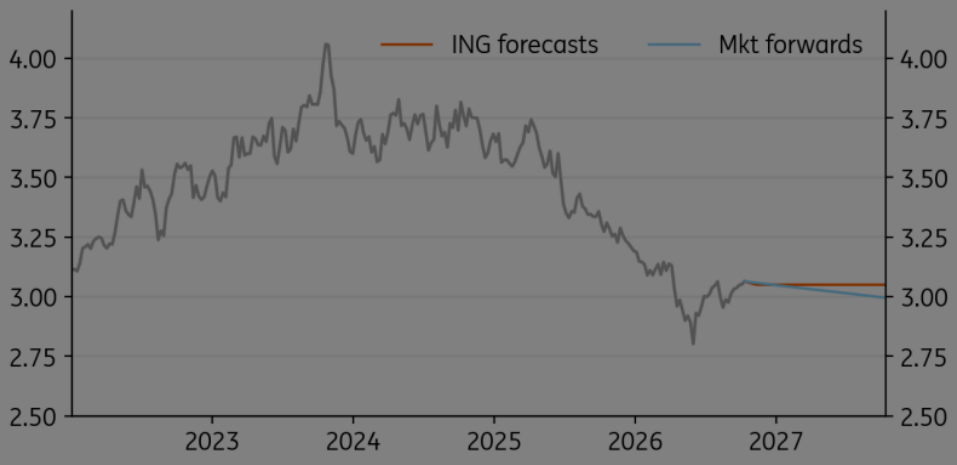
Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

- Longer term, the trade-weighted ILS is very firm, and we suspect Israeli authorities will struggle to tolerate much further strength.



Source: Refinitiv, ING Forecasts

Cookie settings

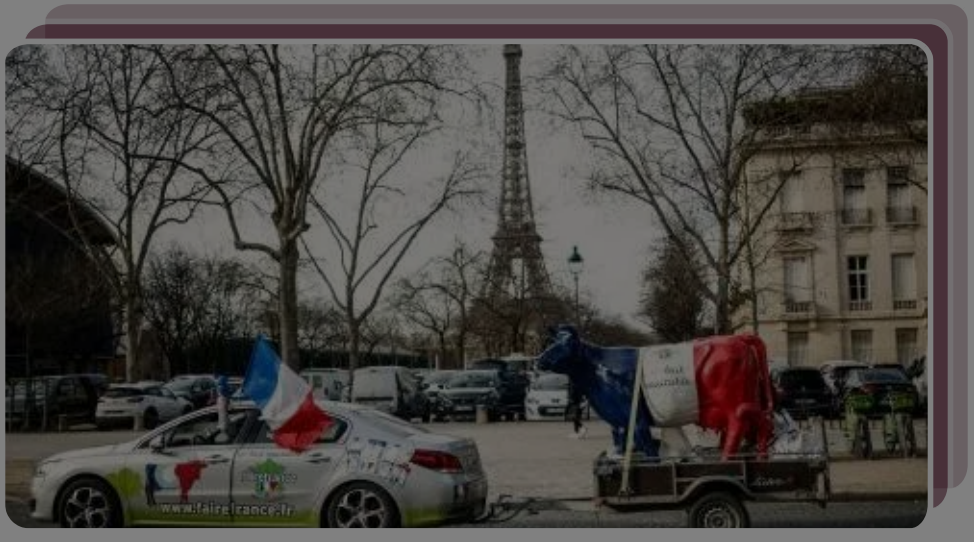
At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies



BUNDLE

YESTERDAY, 10:50

FX Talking: Au revoir, euro bulls

This bundle contains 6 articles

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies